Borrower: HANGS Construction Services LLC
Agreement dated July 14, 2025
Financial covenants tested monthly, from the borrower's monthly statements

Section 7. Financial Covenants

7.1 Maximum Leverage Ratio

Borrower shall not permit the ratio of Total Liabilities to Tangible Net Worth to be more than 1.50 to 1.00 at the end of any month.

Covenant level: 1.50 to 1.00

7.2 Minimum Tangible Net Worth

Borrower shall maintain Tangible Net Worth of not less than $3,000,000.00 at the end of any month.

Covenant level: $3,000,000.00

7.3 Minimum Liquidity

Borrower shall maintain Unrestricted Cash of not less than $750,000.00 at the end of any month.

Covenant level: $750,000.00

7.4 Compliance Certificate

A compliance certificate signed by the CFO is due within 30 days after the end of each month.

Invented document for a software demonstration. No real company, person, lender or account.

Section 1. Definitions Used in Section 7

“Total Liabilities” means all liabilities of Borrower that would appear on its balance sheet under GAAP.

“Tangible Net Worth” means shareholders' equity, including current-year earnings, less intangible assets and less amounts due from affiliates, shareholders, officers or other related parties.

“Unrestricted Cash” means cash and cash equivalents not subject to any pledge, deposit control agreement or restriction. Restricted retainage cash is excluded.

Terms not defined here have the meanings given to them under GAAP, applied consistently with the borrower's monthly statements.

Invented document for a software demonstration. No real company, person, lender or account.